

coverage, but the grim reality is that you are 50,000 times more likely to meet your maker due to that deadly duo than these other rarities.^{[137](#)}

The parallels to investing are obvious: We fear rare events like stock market crashes, the collapse of the US dollar, and hyperinflation, when we should be focused instead on the mundane. Our attention is captivated by black swan events like the 1987 market crash, when the Dow Jones Industrial Average plunged a record 22.8% in a day. Broad diversification and keeping your costs and taxes low are much more important than worrying about a crash. Metaphorically speaking, crashes are closer to terrorist attacks, while high costs that erode long-term returns are more akin to high cholesterol or blood pressure.

We are all susceptible to these kinds of cognitive and behavioral errors. As *Outside* magazine correctly observed, “Our species evolved as hyper-social creatures uniquely concerned about how others perceive us.” We are obsessed with what everyone else is doing—whether it’s taking a selfie that leaves others in awe, or a fear of missing out on the next hot investment, be it Nvidia, Bitcoin, house flipping, or whatever comes next. FOMO—fear of missing out—is simply fear & greed by another name.

Selfie deaths are an example of how silly it was to focus on the numerator without considering the denominator. It is revealing of both our innumeracy and psychology; understanding each better is one of the keys to successful investing.



Since we are already discussing death and taxes, let’s move to our next example of bad math: Survivorship bias.

^{[134](#)} Kathryn Miles, “Cause of Death: Selfie,” *Outside* (April 16, 2019). Selfie deaths in 2015 include people falling to death (4), a live hand grenade, hit by a train, electrocuted (2), shot themselves (2), fell from a bridge, fell down the stairs at the Taj Mahal. See also: Barry Ritholtz, “Fixing Your Clients’ Behavior—The Biggest Problem Never Solved,” *The Big Picture* (January 23, 2017).

^{[135](#)} CDC National Center for Health Statistics, National Vital Statistics System, Mortality